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*In search of the non-profit sector II: The problem of classification**

Abstract

Building on a previous *Voluntas* article (Salamon and Anheier, 1992b), which formulated a systematic approach to defining the non-profit sector for purposes of comparative research, this article takes on the complementary task of formulating a classification system that can be used to differentiate systematically the types of non-profit organisations that exist at the global level. To do so, the article first assesses a number of existing classification systems, such as the International Standard Industrial Classification and the National Taxonomy of Exempt Entities. Finding these systems inadequate, the article then introduces an alternative system, which we term the International Classification of Nonprofit Organizations (ICNPO). The ICNPO classifies non-profit establishments into 12 major groups based on their primary economic activity, and then further sub-divides these into 24 sub-groups. The result is a system that scores high in terms of five key evaluation criteria: economy, significance, rigour, organising power, and richness. What is more, initial tests of the ICNPO in a set of countries show that it performs well in coming to terms with the diverse types of non-profit institutions that exist around the world.

Introduction

In a previous article (Salamon and Anheier, 1992b), we argued that the lack of attention that has historically been given to the non-profit sector around the world has been due to factors that are as much conceptual as empirical. The non-profit sector is poorly understood, not so much because the data on it are limited, rather because the concepts used to depict its boundaries are so murky and imprecise.

To correct this problem, we reviewed several alternative ways of defining this sector and ultimately settled on what we termed the 'structural/operational definition'. The heart of this definition is a set of five core structural or operational features that distinguish the organisations that comprise the non-profit sector from other types of social institutions. So defined, the non-profit sector is a set of organisations that are

- formally constituted;
- non-governmental in basic structure;
- self-governing;
- non-profit-distributing; and
- voluntary to some meaningful extent.

This definition recommended itself because it ranked highest in terms of five key criteria that are often used to evaluate analytical models (Deutsch, 1963; see below). In particular, it seemed to enjoy the greatest economy, significance, rigour, combinatorial richness and explanatory power (ability to apply to varied circumstances).

The need for a classification system

Important as the task of defining the non-profit sector and identifying its common characteristics is, however, it represents only half of the conceptual challenge involved in coming to terms with this sector. At least as important is a second crucial task: the task of classification, of identifying the systematic differences among the organisations in the sector and an appropriate basis for grouping them. Definition and classification are, in a sense, two parts of a related process. The first specifies what the entities in a group have in common; the second spells out the ways in which they nevertheless differ.

Such differentiation is absolutely essential for serious analysis, and even casual description. As a recent United Nations document puts it:

all economic processes that are to be described in the form of statistics require systematic classification. Classifications are, so to speak, the system of languages used in communication about ... phenomena' (1990, p.6).

This general need for a classification system is particularly applicable to the non-profit sector. Because of the diversity of this sector, comparisons at the level of the sector as a whole can be at best incomplete and at worst seriously misleading. Countries that have major differences in the overall scale and character of their non-profit sectors can nevertheless have significant commonalities with respect to particular

types of organisations. Without some systematic basis for grouping information in terms of the component parts of this sector, little progress can be made in describing the sector, let alone conducting serious cross-national research on it.

The challenges of classification

While classification is essential, however, it is also very difficult. No single classification system is perfect for all possible purposes. In a sense, the ultimate value of a classification system is dictated by the use to which it will be put. For some uses, it is sufficient to group all organisations that are part of a class simply by size. For others, more complex classifications are necessary.

Broadly speaking, two basic issues have to be settled in the design of any classification system. The first of these is the *unit of analysis* to be used; the second is the *basis of the classification*, the central variable, or variables, in terms of which entities are to be differentiated from each other.

Unit of analysis. So far as the unit of analysis is concerned, the task is to find the unit that is both most homogenous in terms of the classification factor of interest (so that entities can really be grouped in terms of this factor) and also available as a unit about which relevant information is collected. For example, a complex organisation such as Caritas, the Catholic service agency in Germany may operate several hospitals, a number of day care centres, and a variety of family service agencies. If the organisation is the unit of analysis, therefore, Caritas would likely be classified as a health provider since that is probably the activity that accounts for the largest share of its expenditures. In the process, however, the classification system would obscure the probably more numerous family agencies that the Caritas organisation also encompasses. While it may be more precise to focus on the individual establishments or service units, however, Caritas may not keep its data in this form.

Basis of classification. Even when the unit of analysis can be established, important questions remain about the basis to use for classification. The possibilities here are almost endless: size, legal form, clientele, type of activity, product. All of these are reasonable possibilities, but each yields a different result. Thus a non-profit organisation that conducts research on health matters could logically be grouped together with other research organisations or with other health organisations depending on whether the activity (research) or the product (health services) is used as the basis of the classification. Unless these matters

are clearly understood and systematised, serious problems can arise in trying to interpret the basic parameters of the sector, especially in cross-national settings.

Existing systems

Fortunately, a wide variety of systems for classifying non-profit organisations are in existence, and they offer some insights into how to settle these issues. While these systems differ in many respects, there is some consensus that the appropriate unit of analysis is the *individual establishment* and that the appropriate basis for classification, at least for assessing the economic character of the sector, is the *economic activity* that the establishment carries out: that is, the product or service it generates.¹ This is the basis for the national income data used to generate estimates of national economic activity around the world, and it is also the basis for many of the more numerous national systems within which non-profit organisations are classified.

To say that there are some basic commonalities among a number of classification systems now in use for the non-profit sector is not yet to say that the existing systems are the same. Most of the existing systems are built around national legal codes and embody an essentially legal definition of the non-profit sector. A system developed by the Internal Revenue Service in the United States some years ago to classify non-profit organisations, for example, identifies over 400 types of organisations, most of them sub-sets of the 26 different provisions of the Internal Revenue Code under which organisations can claim tax-exempt status. The *Nomenclature des domaines d'action associations* used by the French Statistical Office (INSEE, 1990), by contrast, utilises an entirely different grouping consisting of ten general domains of activity, which are sub-divided into 64 sub-domains. Many of these are peculiar to French national circumstances, however, such as the distinction between university-based sport activities and other sport clubs, or the inclusion of the domain of 'transport and communication'.

Fortunately, however, a number of more general classification schemes are also available for differentiating the types of organisations that comprise the non-profit sector. These include the UN International Standard Industrial Classification (ISIC) of all economic activities, the General Industrial Classification of Economic Activities (NACE) developed by the European Statistical Office, and the National Taxonomy of Exempt Entities (NTEE) developed by the National Center for Charitable Statistics in the United States.

In the balance of this article, we assess the relative utility of these different classification systems and then suggest a modified system that we argue is more suitable than the existing alternatives for

comparative international work in this field. We call this the International Classification of Nonprofit Organizations (ICNPO). In order to explain why this alternative system is superior, however, we must first explore what the criteria are for choosing among classification schemes in this field.

Evaluation criteria

Since the utility of a classification scheme is determined in important part by the use to which it will be put, great care must be taken in declaring one system superior to another. For the present purposes, however, the evaluation criteria formulated by Karl Deutsch to choose among analytical models in the social sciences and used in our earlier article (Salamon and Anheier, 1992b) to choose among alternative definitions of the non-profit sector, also provide an objective basis for choosing one classification scheme over another. In these terms, the best classification system, like the best definition, is the one that achieves the optimum combination of economy, significance, rigour, combinatorial richness and explanatory power. Let us examine each of these in turn.

Economy. The temptation with any classification system is to multiply the number of categories so that it comes close to the number of separate organisations. So elaborated, a classification system loses its value as a way to simplify reality. What is more, it can make the system unworkable by requiring information that is not easily available.

As with a definition, therefore, a classification system to be effective must have a reasonable degree of economy. That is, it must group the welter of organisations that comprise the sector into a reasonable number of groupings, and it must do so with reference to only a limited set of crucial factors.

Significance. Economy, however, is only one factor in judging a classification system. Equally important is the preservation of distinctions that highlight the truly significant differences in the phenomenon under study. A classification scheme which is simple and economical but which permits comparison only in terms of factors that are trivial or unimportant is not the one that should command support. The classification must focus attention on differences that are truly meaningful and significant.

Rigour. Classification systems must also be rigorous, or reliable in terms of measurement. Criteria must be defined in such a way that organisations that end up in one category in one country would be

likely to end up in the same category in another country. What is more, the classification should not depend on special information known to only a small number of people. The basis for the classification should be capable of being made sufficiently clear to ensure that different people would group the same agencies the same way most of the time.

Combinatorial richness. A fourth crucial criterion of an effective classification system is the 'combinatorial richness' it achieves. Combinatorial richness is the measure of the productivity of the classification system, the extent to which it brings to the surface a wide range of interesting relationships, comparisons and contrasts. Combinatorial richness and economy are therefore partly in opposition to each other, since greater combinatorial richness can often be achieved only at the expense of a loss of economy and vice versa. But these two criteria are not simply opposite sides of the same coin. On the contrary, it is possible to have a classification system that lacks *both* economy and combinatorial richness because it uses complex criteria of differentiation that are nevertheless not very rich and suggestive.

Organising power. The final test of a classification system is its 'organising power': its ability to fit circumstances other than the one it was originally developed to fit. This is obviously especially important in international comparative work. A classification system with the greatest organising power is the one that can most comfortably encompass the circumstances of the largest number of different countries or types of national situations.

Summary. Clearly, no classification system can score equally high on all of these criteria, if for no other reason than that national circumstances do differ considerably. A system that is precise enough to demarcate the organisations in a particular country with great rigour is therefore likely to lack the organising power to apply to another country very easily. Complex trade-offs therefore exist among the various criteria, and systems that may be ideal for particular national circumstances may consequently not work well for international, comparative work. Since our objective here is to find a classification system that will work best comparatively, we necessarily put slightly more emphasis on some criteria (for example, 'organising power' and 'economy') than others. The discussion of various classification systems below must consequently not be taken to suggest that the various systems may not have great value in particular national circumstances. Rather, our question is different. How well do these systems work for the task of classifying the non-profit sector for comparative inter-

national work? The answer, we suggest, is not very well, leading us to develop an alternative system. Let us examine, then, what factors led us to this conclusion and what the components of our recommended system are.

Existing classification systems: an assessment

Broadly speaking, three fairly comprehensive classification systems are available for differentiating the non-profit sector at the international level: first, the UN's International Standard Industrial Classification (ISIC) (United Nations, 1990); the European Community's General Industrial Classification of Economic Activities (NACE) (Eurostat, 1985); and the National Taxonomy of Exempt Entities (NTEE) developed by the National Council of Charitable Statistics in the United States. How well do these systems stack up in terms of the criteria identified above?

The UN International Standard Industrial Classification System (ISIC)

The UN ISIC system was formulated to provide a basis for developing consistent economic statistics among the countries of the world. Modelled on the standard industrial classification system developed in the United States, it was adopted at the international level in 1948 and provides the most comprehensive and widely-used system for classifying economic activity in the world.

Now in its third revision, the ISIC system essentially differentiates the many types of 'establishments' in any national economy in terms of their principal 'economic activity'. Altogether, the ISIC groups establishments into 17 broad 'sections' (for example, Agriculture, Hunting and Forestry; Manufacturing), sub-divides these into 60 'divisions' (for example, manufacture of textiles, manufacture of tobacco products, manufacture of rubber and plastics products), and further sub-divides these 60 into up to nine 'groups' each (for example, 'spinning, weaving and finishing of textiles', 'manufacture of knitted and crocheted fabrics and articles' and so on).

Like its cousin, the 'economic definition of the non-profit sector' described in Salamon and Anheier (1992b), the International Standard Industrial Classification system has a great deal of *economy*, *rigour* and *organising power*. The system has evolved over more than 40 years through the active involvement of statisticians from countries around the world. Although certainly not without its complexities, it provides a rather efficient way to sort an immense amount of economic data on virtually every country, and has acquired, through extensive

communication among statistical officials, a high degree of precision cross-nationally. What is more, it is a system that is already in place in the economic data systems of a wide array of countries, making it a very practical system for gathering economic data on the non-profit sector.

Despite its considerable strengths, however, the ISIC system also has significant drawbacks as a mechanism for classifying the non-profit sector. In the first place, as we have argued elsewhere (Salamon and Anheier, 1992b; Anheier et al., 1992), the ISIC system utilises a definition of the non-profit sector that excludes organisations that receive half or more of their income from fees or government support.² Perhaps because of this, the types of non-profit organisations that are differentiated in the ISIC classification are rather limited. Almost all the organisations meeting our definition for inclusion in the non-profit sector would fall into one of only three broad classes identified in the ISIC: Education (M), Health and social work (N), and Other community, social and personal activities (O) (see Table 1). Although the education category is usefully split into meaningful categories, the others are not. This is particularly true of 'health and social work', which groups a broad range of social welfare activities from counselling to adoption assistance to rehabilitation assistance under the broad catch-all 'social work activities'. What is more, the 'Other community, social and personal activities' category also contains an immense range of different types, from trade unions to libraries, museums and religious congregations. The result is such a broad set of catch-all categories that it is difficult to use the scheme to make meaningful comparisons among countries at the level of sub-sectors of the non-profit sector. In the terms we introduced earlier, the classification system thus lacks *significance* and *combinatorial richness* so far as the non-profit sector is concerned.

Not only does it lack combinatorial richness, however, but also the ISIC system as currently constituted lacks *organising power*. This is so because the system fails to give sufficient prominence to a type of non-profit organisation that has become increasingly important in many developing nations: the so-called non-governmental organisation, or NGO. These are combinations of housing, community development, economic development and community empowerment organisations. During the past 20 years they have grown increasingly important in the life of many developing societies, yet they do not find a convenient or prominent home in the ISIC system. Developed for a different purpose, the ISIC does not seem able to accommodate this significant new phenomenon.

Eurostat General Industrial Classification of Economic Activities (NACE)

As originally formulated, the General Industrial Classification of Economic Activities (NACE) developed by the European Statistical Office provided some useful improvements on the basic ISIC system (Eurostat, 1979, pp.25-6, 1985). As reflected in Table 1, the NACE system added two major categories to the ISIC system: (1) 'Research and development'; and (2) 'Recreation and culture' (included as part of 'Other community services' under ISIC). This usefully tightened the 'Other community, social and personal services' category and highlights the role of non-profit research bodies.

Despite these improvements, however, the 1970 NACE system still suffered from many of the same problems as the ISIC system on which it rests. Thus, for example, it still failed to differentiate the many types of 'social work' and related social welfare activities, grouping these under two rather broad categories – 'social work' and 'social homes'. Nor did the 1970 NACE system depart from the overall definitional limitation of the ISIC system, its focus only on 'donative' non-profits and its exclusion of organisations that receive significant income from government or fees. In fact, the NACE is even more restrictive than the basic ISIC scheme. This is so because it restricts non-profit organisations by definition to certain categories of services that it *a priori* treats as 'non-market'. Included in such non-market services are administration of cemeteries, social work, religious activity and tourist information. Other services can be considered non-profit but only if the producer receives most of its resources from non-market sources (for example, charitable contributions). As a consequence, this system leaves out many important types of non-profit activity and organisations, robbing the classification system of a considerable portion of its significance.

Finally, the NACE system also fails to leave adequate room for NGOs in the developing world. Such organisations are buried in the 'other community services' category rather than being highlighted as a distinctive type of organisation. While it makes some improvement, therefore, the NACE system thus still has serious deficiencies in terms of *significance, combinatorial richness and organising power*.³

The National Taxonomy of Exempt Entities

A far more complete classification system for the non-profit sector is available in the National Taxonomy of Exempt Entities developed by the National Center for Charitable Statistics, a division of Independent Sector in the United States (Hodgkinson, 1990). Originally conceived as a way to get beyond the cumbersome classification system then in

Table 1. Existing classification systems for non-profit organisations

International Standard Industrial Classification (ISIC)	General Industry Classification of Economic Activities (NACE)	National Taxonomy of Exempt Entities (NTEE)	
<i>Education</i>	<i>Education</i>	<i>Education</i>	<i>Diseases, disorders</i>
Primary	Higher	Elementary, secondary	Birth defects
Secondary	Primary and secondary	Vocational	Cancer
Higher	Nursery	Higher	Leukaemia
Adult and other		Professional schools	Organ diseases
		Continuing	Nerve, muscle, bone
		Libraries	Allergies
<i>Health and social work</i>		Student services/organisations	Digestive diseases
Human health services		Other	Named diseases
Veterinary activities			Medical specialties
Social work activities			Other
			<i>Medical research</i>
<i>Other community social and personal service activities</i>	<i>Research and development</i>	<i>Health</i>	Birth defects
Sanitation	<i>Medical/health</i>	Hospitals, nursing homes, convalescent	Cancer
Business and professional	Hospitals, nursing homes, sanatoria	Outpatient facilities	Specific organs
Trade unions	Dental care	Reproductive health	Nerve, muscle, bone
Other membership organisations (including religious, political)	Veterinary	Rehabilitation services	Allergies
Entertainment		Health support	Digestive diseases
News	<i>Other services to the public</i>	Public health	Named diseases
Libraries, museums, culture	Social work	Health care financing	Medical specialties
Sport and recreation	Social homes	Other	Other
	Professional associations	<i>Mental health</i>	<i>Crime, legal</i>
	Employers federations	Substance abuse	Prevention
	Trade unions	Multipurpose treatment	Facilities
	Religious organisations and learned societies	Crisis intervention	Rehabilitation
	Tourism	Addictive disorders	Administration of justice
		Others	Law enforcement
	<i>Recreation, culture</i>		Abuse protection
	Entertainment		Legal services
	Libraries, archives, museums, zoos		
	Sports organisations		

Table 1 (continued)

**National Taxonomy of
Exempt Entities (NTEE)
(continued)**

<i>Employment</i>	<i>Youth development</i>	<i>Animal-related</i>	<i>Science research</i>
Employment procurement	Youth centres	Animal protection	Social science research
Vocation rehabilitation	Adult, child programmes	Wildlife preserve	Other society benefit
Unions	Scouting organisations	Zoos	Religion-related
	Youth development	Specialty animals	Mutual benefit
<i>Food, nutrition</i>	<i>Human services</i>	<i>International</i>	Insurance
Agricultural programmes	Multipurpose	International understanding	Pension funds
Food service, distribution	Children and youth	Development, relief	Fraternal
Nutrition	Family	Peace and security	Burial societies
Home economics	Personal social services	Human rights	
	Emergency assistance	<i>Civil rights and advocacy</i>	
	Residential, custodial	Equal opportunity	
	Promotion of independence	Specific groups	
<i>Housing, shelter</i>	<i>Arts, culture</i>	Voter education	
Housing development,	Multipurpose	Race relations	
management	Communications	Civil liberties	
Housing search	Visual arts	<i>Community improvement</i>	
Low-cost, temporary	Museums	Neighbourhood development	
Owners (renters organisations)	Performing arts	Economic development	
Support services	Humanities	Business services	
	Historical societies	Federated giving	
<i>Public safety, disaster preparedness</i>	Arts service	Community service clubs	
Disaster preparedness	<i>Environment</i>	<i>Philanthropy</i>	
Safety education	Pollution abatement	Private foundations	
	Resource protection	Public foundations	
<i>Recreation, sports</i>	Botanical, horticulture	Voluntarism promotion	
Camps	Beautification	Philanthropy promotion	
Physical fitness	Environmental education		
Sports training			
Recreation clubs			
Amateur sports			
Professional athletics			

use by the Internal Revenue Service to classify charitable, non-profit organisations in the United States, the NTEE system has elements that recommend it for comparative international use as well. Most significant is the system's comprehensiveness and considerable *combinatorial richness*.

Where the ISIC system allocates only three broad classes to the economic activities in which non-profits are active, the NTEE system provides for 26 'major groups' which are combined into ten broad 'functional categories'. Thus, for example, the functional category 'Human services' includes such major groups as 'Crime, legal-related', 'Employment, job-related', 'Food, agriculture, nutrition' (see Table 1).

Each of the major groups is then further divided into 17 'common activities' and up to 80 additional activities specific to the groups. The common activities include such things as 'management and technical assistance', 'research' and 'fund-raising and/or fund distribution'. The additional activities then spell out the particular functions in more specific terms. Thus the major group 'Education' is further divided to differentiate such activities as 'adult basic education, compensatory learning' (B60) from 'continuing education, lifelong learning' (B64).

The NTEE system is thus an immensely rich classification system. From the point of view of the non-profit sector, it is in some sense the opposite extreme from the ISIC system: where the ISIC was skimpy in the categories it set aside for the activities of non-profit organisations, the NTEE system is lush with distinctions. In the terms we introduced earlier, it thus has great *combinatorial richness*.

Despite this, however, the NTEE system has some significant drawbacks from the point of view of comparative analysis of the non-profit sector. In the first place, as is always the case, its combinatorial richness is purchased at a considerable price in terms of *economy*. The differentiation of organisational types is so fine that it becomes difficult to make the distinctions called for. In fact, the NTEE system actually reserves some codes for certain named organisations rather than for certain *types* of organisations. Thus, Boy Scouts of America is assigned Class O41, Big Brothers, Big Sisters class O31, the Urban League class P22 and so on. Clearly, a classification scheme that gets down to the level of actual organisations can become exceedingly complex and of questionable value in comparative work. In fact, taken to extremes, this is the opposite of a classification system: it comes close to a listing of agencies. While the NTEE stops far short of this, many of the categories do not line up well with the economic data within the Standard Industrial Classification System. As a consequence, the practicality of the system is open to serious question because in many countries the only realistic body of meaningful data on the establish-

ments in this sector is that embodied in the national income data systems, and these are categorised in terms of the ISIC.

A further complication with the NTEE system arises from the comprehensive list of 'common activity codes' it includes. In a sense, organisations are categorised on two bases at once: first, in terms of their 'economic activity' as defined in the ISIC system (that is, the product or field in which the entity is engaged); and second, in terms of what they do in that field. While this can be useful, it can also create difficulties. For one thing, the information needed to specify the activity may not be available. Thus, it may not be possible to determine, for example, whether a particular health-oriented organisation was engaged in providing health services, or raising funds for health services, or advocating for health services. Even where such information is readily at hand, however, other problems arise. For example, foundations and other fund-raising organisations focusing primarily on the education field are classified as education organisations, whereas other foundations and fund-raising organisations with more general purposes are classified in major group T ('Philanthropy, voluntarism and grant-making foundations'). Summary statistics on the scope of grant-making activities can thus inadvertently leave out significant fund-raising entities that are grouped in other activity areas. Perhaps even more seriously, this arrangement creates great opportunities for double-counting since the grants made by an education foundation to other education organisations can end up being counted twice – once as an expenditure of the foundation and once as the expenditure of the organisation to which the foundation made a grant.

These difficulties limit the *organising power* of the NTEE system, making it difficult to apply the system in other settings where the requisite level of detail is not available. It also limits the *rigour* of the system, particularly in cross-national settings. For example, NTEE places federated fund-raising organisations such as United Way into a category called 'Community improvement, capacity building' rather than the group which is for 'philanthropy, voluntarism and grant-making foundations'. Observers from other countries applying this scheme objectively would likely have a hard time understanding this peculiar usage since the principal activity of United Way and other federated funding organisations is to raise funds for the organisations affiliated with them. Placing these organisations in the 'Community improvement, capacity building' category is thus likely to be misleading.

Finally, the NTEE system also encounters other *organising power* problems with respect to certain key components of the non-profit sector elsewhere. Like the ISIC and NACE systems, it does not give much prominence to the types of non-profit organisations that are most prominent and important in developing countries – namely, the

so-called 'NGOs' and grass-roots development organisations involved in community mobilisation, village renewal and small-scale economic development. The NTEE scheme does have a special code for organisations engaged in 'Development and relief services', but only under 'International activities'. In other words, it provides a definitive category only for the international development organisations but not for the indigenous development organisations active in many developing countries. While some of these could be classified in major group 'Community improvement, capacity building', many others would fall into a great number of other possible categories in the NTEE system.

The proposed International Classification of Nonprofit Organizations (ICNPO): an alternative approach

If the ISIC and NACE systems are too limited and lacking in combinatorial richness and significance, and the NTEE system too complex and lacking in economy and rigour, is it possible to fashion an alternative approach that combines some of the advantages of each without falling into their respective pitfalls? What is more, is it possible to do so in a way that corrects the shortcomings of both of these models in terms of *organising power* so far as the developing world is concerned so that a truly international system can be devised?

We believe the answer to these questions is yes and have developed an alternative classification system for non-profit organisations at the international level that we call the International Classification of Non-profit Organizations, or ICNPO. We emphasise that this system may not be ideal for particular national experiences since it may not capture the full range of non-profit activity in particular national settings as fully as would a purely national classification. However, we believe it provides a useful compromise between the level of detail that might be ideal for national work and the level that is feasible for comparative work, and that it does so while achieving a significant degree of *organising power*.

This classification scheme was developed through a collaborative process involving the team of scholars working on the Johns Hopkins Comparative Nonprofit Sector Project, which the present authors co-direct (for a fuller description, see Salamon and Anheier, 1992a). The system took shape by beginning with the International Standard Industrial Classification (ISIC) system, and elaborating on it as needed to capture most succinctly the reality of the non-profit sector in the 12 different countries involved in this project (the US, the UK, France, Germany, Italy, Japan, Hungary, Brazil, Ghana, Egypt, India and Thailand). Throughout, an effort was made to remain as close as

possible to the ISIC system so that the existing national income data systems could ultimately be used to develop the information to document the scope of the organisations portrayed in the classification.

Central features

Reflecting this, the ICNPO utilises the same basic approach to solving the central design issues of economic classification as the Standard Industrial Classification system developed over the past 45 years by the United Nations. This is apparent in its choice of the basis of classification and unit of analysis.

Focus on economic activities. So far as the basis of classification is concerned, the ICNPO uses the 'economic activity' of the unit as the key to sorting. Units are thus differentiated according to the types of services or goods they provide (for example, health, education, environmental protection). Unlike the NTEE system, which cross-cuts this kind of activity grouping with a grouping keyed to the type of service each entity provides within its activity area (for example, fund-raising, advocacy, research), the ICNPO sticks much more strictly to the ISIC practice of assigning dominance to the activity area and sorting units according to their area of primary activity. A research organisation that specialises in health research would consequently be treated in the ICNPO structure, as in the ISIC structure, as a research organisation rather than a health organisation, since research is its principal activity.

Unit of analysis. As with the Standard Industrial Classification system, the key to making such an 'economic activity'-based system work is to choose a unit of analysis that has enough homogeneity to avoid distorting the data. For this reason, the standard economic statistics use the 'establishment' rather than the 'enterprise' as the unit of analysis since enterprises are frequently made up of many establishments, each of which may be engaged in a slightly different type of economic activity.

We have followed this practice in our proposed ICNPO. In particular, we seek to make the 'establishment' rather than the 'organisation' our principal unit of analysis. An establishment is essentially a place of operation of an organisation. In other words, it is a smaller unit than an organisation. An organisation may consequently run a number of different establishments, each of which may have its own economic activity. In the case of the German Caritas organisation cited earlier, for example, the separate hospitals, family counselling centres and related agencies that comprise the Caritas organisation would be treated as separate 'establishments', each of which would be classified according

to its principal activity. Fortunately, this is also the format used by the German 'census of workplaces', which focuses on the establishment, or workplace, as the unit of analysis.

Basic structure of the ICNPO

As reflected in Appendix A (and summarised in Table 2), the ICNPO system groups the non-profit sector as defined earlier into 12 *major activity groups*, including a catch-all 'Not elsewhere classified' group. These 12 major activity groups are in turn further sub-divided into 24 sub-groups. Each of the sub-groups has in turn been broken into a number of activities, but the ICNPO system as currently developed does not attempt to achieve standardisation at the level of the activities because of the great diversity of the non-profit sector in the different locales. The activities are nevertheless listed in the full specification of the system provided in Appendix A, in order to illustrate the kinds of organisations that fall into each sub-group. To facilitate comparisons, Appendix B provides examples for a cross-walk between ICNPO major groups and sub-groups and those of the ISIC, NACE and NTEE systems, in addition to national classifications in place in France, Japan and the US. Finally, Appendix C offers translations of ICNPO groups and sub-groups into several languages.

Although it is based on the ISIC system, the basic activity group structure of the ICNPO differs from the ISIC in a number of significant ways. Most fundamentally, it elaborates on the basic ISIC structure to take better account of the components of the non-profit sector. Thus:

- The Health and Social Work 'section' of the ISIC system is broken into two 'major activity groups' in the ICNPO scheme: *Group 3, Health*, embracing 'Hospitals and rehabilitation' (3 100), 'Nursing homes' (3 200), 'Mental health and crisis intervention' (3 300), and 'Other health services' (3 400); and *Group 4, Social Services*, embracing 'Social services' (4 100), 'Emergency and refugees' (4 200) and 'Income support and maintenance' (4 300).
- The catch-all 'Other community social and personal service activities' section in the ISIC system is broken into eight major activity groups in the ICNPO system: 'Culture and recreation' (Group 1); 'Environment', including animal-related activities that ISIC classified under 'Health' (Group 5); Law, Advocacy and Politics' (Group 7); 'Philanthropic intermediaries and voluntarism promotion' (Group 8); 'International activities' (Group 9); 'Religion' (Group 10); 'Business and professional associations and unions' (Group 11); and 'Other' (Group 12).

Table 2. *The International Classification of Nonprofit Organizations (ICNPO): summary table*

<i>Group 1: Culture and Recreation</i>		<i>Group 6: Development and Housing</i>	
1 100	Culture and arts	6 100	Economic, social and community development
1 200	Recreation	6 200	Housing
1 300	Service clubs	6 300	Employment and training
<i>Group 2: Education and Research</i>		<i>Group 7: Law, Advocacy and Politics</i>	
2 100	Primary and secondary education	7 100	Civic and advocacy organisations
2 200	Higher education	7 200	Law and legal services
2 300	Other education	7 300	Political organisations
2 400	Research		
<i>Group 3: Health</i>		<i>Group 8: Philanthropic Intermediaries and Voluntarism Promotion</i>	
3 100	Hospitals and rehabilitation	8 100	Philanthropic intermediaries
3 200	Nursing homes		
3 300	Mental health and crisis intervention	<i>Group 9: International Activities</i>	
3 400	Other health services	9 100	International activities
<i>Group 4: Social Services</i>		<i>Group 10: Religion</i>	
4 100	Social services	10 100	Religious congregations and associations
4 200	Emergency and refugees		
4 300	Income support and maintenance	<i>Group 11: Business and Professional Associations, Unions</i>	
<i>Group 5: Environment</i>		11 100	Business and professional associations, unions
5 100	Environment		
5 200	Animals	<i>Group 12: Not Elsewhere Classified</i>	
		12 100	Not elsewhere classified

- A special *Development and housing group* (Group 6) is created for the NGOs that have taken such a distinctive place in the non-profit sectors of the developing countries. Included in this group are three sub-groups of organisations: those involved in 'Economic, social and community development' (6 100); 'Housing' (6 200) and 'Employment and training' (6 300).

While relying most heavily on the ISIC structure, however, the ICNPO system also borrows from the NTEE system discussed above. This is most clearly apparent in the inclusion of a special category of 'Philanthropic intermediary and voluntarism promotion' organisations (Group 8). However, the ICNPO system would put all organisations engaged in this function in this category rather than grouping some of the foundations and other fund-distribution organisations with the service organisations with which they are most closely affiliated and others in an ambiguous 'Community improvement' classification.

Advantages and disadvantages

The proposed ICNPO is certainly not without its drawbacks. Certain of the distinctions proposed may be difficult to make in practice. Numerous environmental organisations are principally engaged in advocacy activities, for example. Should they be classified according to their area of activity or the nature of their activity? Similarly, German trade unions are often deeply involved in vocational training, adult education and the provision of social services. Should they be treated as trade unions, educational facilities or social service agencies?

Beyond this, the nature of a particular type of organisation may vary depending on the stage of political and economic development in a country. For example, associations of doctors or lawyers that would be treated as member-serving trade or professional associations in most developed countries often function as significant promoters of free speech and human rights in developing societies. Unfortunately, the ICNPO system does not take this into account. All professional associations are grouped together despite the differences that may exist among them. In the terms introduced earlier, this inevitably makes the classification less *rigorous* than might be desired. The one saving grace is that most other classification systems suffer from a similar shortcoming.

Finally, though more *economical* than the NTEE system, the ICNPO system is considerably *less* economical than the ISIC approach, which contains far fewer categories in terms of which to differentiate non-profit organisations. This will naturally make the ICNPO system harder to use than the far simpler ISIC one. What is more, the ICNPO categories do not line up perfectly with the often very different groupings spelled out in national legal systems.

Fortunately, however, these shortcomings are more than balanced by a number of advantages. In the first place, though it triples the number of major groupings allocated to the non-profit sector in comparison with the basic ISIC system, the proposed ICNPO system nevertheless retains considerable *economy*. The entire non-profit sector is embraced within 12 major activity groups and 24 sub-groups. What is more, it stays close enough to the ISIC structure to give some reasonable hope that the basic national income data systems can be used to generate the data needed to analyse this sector in the terms the classification suggests.

In the second place, the additional complexity that the ICNPO introduces is done in order to increase the *significance* and *combinatorial richness* of the resulting classification structure. The ICNPO system makes it possible for the first time to differentiate the many different types of non-profit organisations that have emerged in recent years –

environmental organisations, civil rights organisations, business associations, foundations and many more. Under the ISIC system, as we have seen, these were all bundled together in a large, undifferentiated mass of 'Other community, social and personal service activities'.

In the process, the ICNPO makes it possible to group and regroup organisations in order to shed light on a number of significant dimensions of the non-profit sector. One of the more interesting distinctions found in the literature, for example, is that between primarily 'public-serving' and primarily 'member-serving' organisations (see, for example, Salamon and Abramson, 1982; Sumariwalla, 1983; Salamon, 1992). This distinction is crucial in American law, which permits tax deductible gifts only to the former category of organisations. Under the ICNPO system, the member-serving organisations can be separated by focusing on Group 11, 'Business and professional associations and unions', plus the 'Social, recreational and sports clubs' classified in sub-group 1 200 under 'Arts and culture'.⁴

The ICNPO system also easily accommodates two other crucial distinctions frequently drawn among non-profit organisations: the first to separate essentially partisan political organisations from those that are non-partisan; and the second to differentiate churches, synagogues, mosques and other religious congregations from all other organisations. The former is handled by a separate category (7 300) set aside for political parties and other similar organisations whose principal purpose is to assist particular candidates to secure political office (as opposed to promoting a particular cause or policy position). The latter is handled in a major group (Group 10) set aside especially for religious congregations. This analytical flexibility is a crucial advantage of the ICNPO system. In the terms introduced earlier, it demonstrates the *combinatorial richness* of the scheme.

Cross-national application: a partial test

Ultimately, however, the real test of the ICNPO system is its *organising power* and *rigour*, its ability to be applied comparably in different countries and perform well in coming to terms with the realities of different national systems. Although the proof here will be some time in being developed, the early indications are quite promising. A review of the fit between the ICNPO and the national circumstances of some of the countries included in the Johns Hopkins Comparative Nonprofit Sector Project should make this clear (see also Appendix B).

France. As noted in Salamon and Anheier (1992b), the French notion of the non-profit sector, *économie sociale*, is broader than the structural/operational definition that is the foundation for the ICNPO classification,

since it includes co-operatives and mutuals in addition to associations. Within the world of 'associations', however, the ICNPO provides a useful and workable system for differentiating organisational types in terms that permit cross-national comparisons. As such, it usefully bridges a number of peculiarities of French law and practice.

Under French law, for example, there are four major types of associations: 'declared associations', that is, organisations that are registered under the French Law of 1901 and active in a variety of social and economic fields; 'undeclared associations', that is, churches, some political parties and informal neighbourhood groups; 'public utility associations', which operate in the fields of health and welfare and enjoy certain fiscal advantages not available to other declared associations; and 'foundations', which are typically operating agencies with the privilege of owning real estate and other assets (Archambault, 1992).

This legal structure provides only the most limited basis for differentiating French non-profit organisations in terms of what they do, however. The only system in use for doing this is the French version of the European NACE classification scheme, which is called *Nomenclature d'activités et produits*, or NAP. In French practice, every economic organisation with wage earners is listed on a formal file called the SIRENE file, which records, in addition to its name, address and certain economic data, the legal status of the organisation and its NAP code. SIRENE is thus potentially an immensely valuable tool for gathering information about French non-profits. Unfortunately, however, the NAP system suffers from the same limitations as its parent NACE so far as the non-profit sector is concerned. Although education and health and social service activities are separately identified in the classification system, the rest of what we have defined as the non-profit sector is lumped into a catch-all category called 'Other collective non-market services'.

The ICNPO system, by contrast, would divide these remaining types of non-profits into a number of major groups, including 'Environment', 'Law, advocacy and politics', 'Philanthropic intermediaries and voluntarism promotion', 'International activities' and 'Religion'. It thus provides greater *combinatorial richness* than the existing French classification scheme. What is more, it does so while accommodating some of the peculiar French types of non-profit organisations. For example, the so-called *comités d'entreprise*, or 'worker councils', which operate in every enterprise with more than 50 employees and manage canteens, day care and holiday centres, cultural activities, and other personal or family social services, would fit into ICNPO category 4 100, 'Social services'. Similarly, the so-called *tourisme populaire*, or 'social tourism' organisations, which provide tourism, sport and cultural opportunities

for working-class families on a sliding-fee basis geared to family income, would fall into Group 1 200, 'Recreation'. In the terms introduced earlier, the ICNPO system thus offers both *combinatorial richness* and a considerable degree of *organising power*, so far as the French system is concerned.

But is the system workable? Is it possible to gather information about French non-profits at this more refined level of aggregation? The answer to date appears to be a qualified yes. At the very least, a beginning can be made thanks to the existence of a number of umbrella or 'peak' associations that collect some information on key components of the non-profit sector. Thus, for example, UNIOPSS (Union Nationale Interprofessionnelle des Oeuvres Privées Sanitaires et Sociales), a coalition of some 7,000 non-profit health and welfare associations, gathers important information on the employment and activities of its member organisations. Similarly, UNAT gathers comparable data on popular recreation and tourism associations, CNOSF (the Olympic Committee) on other sports federations, UNAF (the family associations' national union) on some 5,700 family service agencies, and FONJEP on youth and popular education associations. While far from adequate, these sources provide some basis for applying the ICNPO in practice, at least until national income classification schemes are modified sufficiently to incorporate the ICNPO more fully.

Japan. A similar situation exists in Japan, though here the legal structure provides a bit more detail on the character of the organisations embraced within the sector. This is so because Japanese law does not provide a blanket authority to form non-profit organisations. Rather, such organisations are restricted to particular purposes, each of which is governed by a separate legal provision. Thus, for example, Japanese law separately permits the formation of *koeki-hojin* (public benefit corporations), *shakaifukushi-hojin* (social welfare corporations), *iryō-hojin* (medical corporations), *shūkyō-hojin* (religious organisations) and private school corporations (Amenomori, 1992).

In the case of the non-profit organisations established by special legislation (for example, the social welfare or medical corporations), the legal class can be translated into the ICNPO categories with only limited difficulty. The situation is a bit more complicated in the case of the *koeki hojin* category because it embraces a wide assortment of organisations spanning virtually all of the ICNPO categories. However, Japanese tax law distinguishes 137 types of *koeiki hojin*, providing some basis for sorting these organisations. More difficult still is the situation with 'unincorporated associations', such as the *kudomokai* (children's associations), the *seinendan* (youth clubs) and the *jichikai* (community self-help bodies). Even here, however, the ICNPO has a place to

classify these organisations and thus to pick up some of the special features of the Japanese non-profit sector. For example, the so-called *jichikai* organisations, which are local community organisations that provide certain social services but also maintain a registry of citizens residing in a community, would seem to fall into ICNPO major group 7, 'Law, advocacy and politics'. In other words, the ICNPO seems to have considerable *organising power* for coming to terms with the special characteristics of the Japanese non-profit sector as well.

India. The ICNPO also seems capable of embracing the rich diversity of non-profit organisations in a country like India, which contains a variety of traditional associations representing caste, ethnic and religious communities; various missionary societies and associations related to the Gandhian movement; Western-style non-profit organisations in such fields as social services, recreation and health; and an important set of so-called 'non-governmental organisations' or NGOs. Under the ICNPO system, for example, caste and ethnic organisations would fall under Group 7 100, 'Civic and advocacy organisations'; religious groups in 10 100, 'Religion', Gandhian or religious-based development organisations under Group 6, 'Development and housing'.

The identification of a separate category – major group 6, 'Development and housing' – that can accommodate NGOs is a special advantage of the ICNPO system for countries like India. Such organisations have grown increasingly important in the developing world (Drabek, 1987). They function as crucial transmission belts for development activities, embracing community organising and local economic development. Despite their importance, they are not easily accommodated in the existing national income classification systems. By providing a definable category for them, the ICNPO system achieves greater *organising power* and *combinatorial richness*.

Conclusion

Classification efforts of the sort discussed in this article often get short shrift in the development of new bodies of knowledge. It is, after all, somewhat dry work, lacking the drama of new empirical discoveries. Yet the importance of such work to our understanding cannot be over-emphasised. Classification is the crucial prerequisite for scientific progress in any field of study. The development of clear definitions and classification systems is fundamental progress in the technology of thinking. Abstract words like the 'non-profit' or 'voluntary' sector have no real meaning without it, and serious empirical work cannot proceed in its absence. Regrettably, the development of this kind of

conceptual equipment has lagged behind badly in the newly-emerging field of non-profit sector studies. While the ICNPO system outlined here may not be the last word on this topic, it is our hope that it will at least get the topic on the agenda, and perhaps provide a foundation on which to build.

Appendix A. The International Classification of Nonprofit Organizations: explanatory notes

In addition to the specific activities listed below, each ICNPO sub-group includes three general types of activities:

- multipurpose organisations;
- support and service organisations, auxiliaries, councils, standard-setting and governance organisations; and
- organisations not elsewhere classified.

For example, in sub-group 1 100 Culture and arts, the general categories categorise 'multipurpose culture and arts organisations' that cannot be easily classified under 'museum', 'visual arts' or some other specific activity; arts councils or support organisations ('Friends of the City Opera') under 'support and services organisations, auxiliaries, councils, standard-setting and governance organisations', and culture and arts organisations that cannot be classified elsewhere.

Group 1: Culture and recreation

- Organisations and activities in general and specialised fields of culture and recreation.

1 100 Culture

- *media and communications*: production and dissemination of information and communication; includes radio and TV stations, publishing of books, journals, newspapers and newsletters; film production; libraries.
- *visual arts, architecture, ceramic art*: production, dissemination and display of visual arts and architecture; includes sculpture, photographic societies, painting, drawing, design centres and architectural associations.
- *performing arts*: performing arts centres, companies and associations; includes theatres, dance, ballet, opera, orchestras, chorals and music ensembles.

- *historical, literary and humanistic societies*: promotion and appreciation of the humanities, preservation of historical and cultural artifacts, commemoration of historical events; includes historical societies, poetry and literary societies, language associations, reading promotion, war memorials, commemorative funds and associations.
- *museums*: general and specialised museums covering art, history, sciences, technology, culture
- *zoos and aquariums*

1 200 Recreation

- *sports clubs*: provision of amateur sports, training, physical fitness and sport competition services and events
- *recreation and social clubs*: provision of recreational facilities and services to individuals and communities; includes playground associations, country clubs, men's and women's clubs, fitness centres

1 300 Service clubs

- *membership organisations* providing services to members and local communities, for example; Kiwanis, Lions or Zonta International

Group 2: Education and research

- *organisations and activities* administering, providing, promoting, conducting, supporting and servicing education and research

2 100 Primary and secondary education

- *elementary, primary and secondary education*: education at elementary, primary and secondary levels; includes pre-school organisations other than day care

2 200 Higher education

- *higher education (university level)*
- *higher learning*, providing academic degrees; includes universities, business management schools; law schools; medical schools.

2 300 Other education

- *vocational/technical schools*: technical and vocational training specifically geared towards gaining employment; includes trade schools; paralegal training, secretarial schools
- *adult/continuing education*: institutions engaged in providing education and training in addition to the formal educational system; includes schools of continuing studies, correspondence schools, night schools, sponsored literacy and reading programmes.

2 400 Research

- *medical research*: research in the medical field, includes research on specific diseases, disorders, or medical disciplines.
- *science and technology*: research in the physical and life sciences, engineering and technology.
- *social sciences, policy studies*: research and analysis in the social sciences and policy area.

Group 3: Health

- Organisations that engage in health-related activities, providing health care, both general and specialised services, administration of health care services and health support services.

3 100 Hospitals and rehabilitation

- *hospitals*: primarily inpatient medical care and treatment.
- *rehabilitation*: inpatient health care and rehabilitative therapy to individuals suffering from physical impairments due to injury, genetic defect or disease and requiring extensive physiotherapy or similar forms of care.

3 200 Nursing homes

- *nursing homes*: inpatient convalescent care, residential care as well as primary health care services; includes homes for the frail elderly, nursing homes for the severely handicapped.

3 300 Mental health and crisis intervention

- *psychiatric hospitals*: inpatient care and treatment for the mentally ill.

- *mental health treatment*: outpatient treatment for mentally ill patients; includes community mental health centres and halfway homes.
- *crisis intervention*: outpatient services and counsel in acute mental health situations; includes suicide prevention and support to victims of assault and abuse.

3 400 Other health services

- *public health and wellness education*: public health promoting and health education; includes sanitation screening for potential health hazards, first aid training and services and family planning services.
- *health treatment, primarily outpatient*: organisations that provide primarily outpatient health services – for example, health clinics, vaccination centres.
- *rehabilitative medical services*: outpatient therapeutic care; includes nature cure centres, yoga clinics, physical therapy centres.
- *emergency medical services*: services to persons in need of immediate care, includes ambulatory services and paramedical emergency care, shock/trauma programmes and lifeline programmes; ambulance services.

Group 4: Social services

- Organisations and institutions providing human and social services to a community or target population.

4 100 Social services

- *child welfare, child services, day care*: services to children, adoption services, child development centres, foster care, includes infant care centres and nurseries.
- *youth services and youth welfare*: services to youth; includes delinquency prevention services, teen pregnancy prevention, drop-out prevention, youth centres and clubs, job programmes for youth; includes YMCA, YWCA, Boy Scouts, Girl Scouts, Big Brothers/Big Sisters.
- *family services*: services to families, includes family life/parent education, single parent agencies and services, family violence shelters and services.
- *services for the handicapped*: services for the handicapped; includes homes, other than nursing homes; transport facilities, recreation and other specialised services.

- *services for the elderly*: organisations providing geriatric care; includes in-home services, homemaker services, transport facilities, recreation, meal programmes and other services geared towards senior citizens. (Does not include residential nursing homes.)
- *self-help and other personal social services*: programmes and services for self-help and development; includes support groups, personal counselling, credit counselling/money management services.

4 200 Emergency and relief

- *disaster/emergency prevention and control*: organisations that work to prevent, predict, control and alleviate the effects of disasters, to educate or otherwise prepare individuals to cope with the effects of disasters, or provide relief to disaster victims, includes volunteer fire departments, lifeboat services and so on.
- *temporary shelters*: organisations providing temporary shelters to the homeless; includes travellers aid and temporary housing.
- *refugee assistance*: organisations providing food, clothing, shelter and services to refugees and immigrants.

4 300 Income support and maintenance

- *income support and maintenance*: organisations providing cash assistance and other forms of direct services to persons unable to maintain a livelihood.
- *material assistance*: organisations providing food, clothing, transport and other forms of assistance; includes food banks and clothing distribution centres.

Group 5: Environment

- Organisations promoting and providing services in environmental conservation, pollution control and prevention, environmental education and health and animal protection.

5 100 Environment

- *pollution abatement and control*: organisations that promote clean air, clean water, reducing and preventing noise pollution, radiation control, hazardous wastes and toxic substances, solid waste management, recycling programmes and global warming.

- *natural resources conservation and protection*: conservation and preservation of natural resources, including land, water, energy and plant resources for the general use and enjoyment of the public.
- *environmental beautification and open spaces*: botanical gardens, arboreta, horticultural programmes and landscape services; includes organisations promoting anti-litter campaigns, programmes to preserve the parks, green spaces and open spaces in urban or rural areas, and city and highway beautification programmes.

5 200 *Animals*

- *animal protection and welfare*: animal protection and welfare services; includes animal shelters and humane societies.
- *wildlife preservation and protection*: wildlife preservation and protection; includes sanctuaries and refuges.
- *veterinary services*: animal hospitals and services providing care to farm and household animals and pets.

Group 6: *Development and housing*

- Organisations promoting programmes and providing services to help improve communities and the economic and social wellbeing of society.

6 100 *Economic, social and community development*

- *community and neighbourhood organisations*: organisations working towards improving the quality of life within communities or neighbourhoods – for example, squatters' associations, local development organisations, poor people's co-operatives.
- *economic development*: programmes and services to improve the economic infrastructure and capacity; includes building of infrastructure like roads and entrepreneurial programmes and technical or management consulting assistance, rural development organisations.
- *social development*: organisations working towards improving the institutional infrastructure and capacity to alleviate social problems and to improve general public wellbeing.

6 200 *Housing*

- *housing association*: development, construction, management, leasing, financing and rehabilitation of housing.

- *housing assistance*: organisations providing housing search, legal services and related assistance.

6 300 Employment and training

- *job training programmes*: organisations providing and supporting apprenticeship programmes, internships, on-the-job training and other training programmes.
- *vocational counselling and guidance*: vocational training and guidance, career counselling, testing and related services.
- *vocational rehabilitation and sheltered workshops*: organisations that promote self-sufficiency and income generation through job training and employment.

Group 7: Law, advocacy and politics

- Organisations and groups that work to protect and promote civil and other rights, or advocate the social and political interests of general or special constituencies, offer legal services and promote public safety.

7 100 Civic and advocacy organisations

- *advocacy organisations*: organisations that protect the rights and promote the interest of specific groups of people – for example, physically handicapped people, the elderly, children and women.
- *civil rights associations*: organisations that work to protect or preserve individual civil liberties and human rights.
- *ethnic associations*: organisations that promote the interests of, or provide services to, members belonging to a specific ethnic heritage.
- *civic associations*: programmes and services to encourage and spread civic mindedness.

7 200 Law and legal services

- *legal services*: legal services, advice and assistance in dispute resolution and court-related matters.
- *crime prevention and public safety*: crime prevention to promote safety and precautionary measures among citizens.
- *rehabilitation of offenders*: programmes and services to re-integrate offenders; includes halfway houses, probation and parole programmes, prison alternatives.

- *victim support*: services, counsel and advice to victims of crime.
- *consumer protection associations*: protection of consumer rights, and the improvement of product control and quality.

7 300 Political organisations

- *political parties and organisations*: activities and services to support the placing of particular candidates into political office; includes dissemination of information, public relations and political fund-raising.

Group 8: *Philanthropic intermediaries and voluntarism promotion*

- Philanthropic organisations and organisations promoting charity and charitable activities.

8 100 Philanthropic intermediaries and voluntarism promotion

- *grant-making foundations*: private foundations; including corporate foundations, community foundations and independent public law foundations.
- *voluntarism promotion and support*: organisations that recruit, train and place volunteers and promote volunteering.
- *fund-raising organisations*: federated, collective fund-raising organisations; includes lotteries.

Group 9: *International activities*

- Organisations promoting greater intercultural understanding between peoples of different countries and historical backgrounds and also those providing relief during emergencies and promoting development and welfare abroad.

9 100 International activities

- *exchange/friendship/cultural programmes*: programmes and services designed to encourage mutual respect and friendship internationally.
- *development assistance associations*: programmes and projects that promote social and economic development abroad.
- *international disaster and relief organisations*: organisations that collect, channel and provide aid to other countries during times of disaster or emergency.

- *international human rights and peace organisations*: organisations which promote and monitor human rights and peace internationally.

Group 10: Religion

- Organisations promoting religious beliefs and administering religious services and rituals; includes churches, mosques, synagogues, temples, shrines, seminaries, monasteries and similar religious institutions, in addition to related associations and auxiliaries of such organisations.

10 100 Religious congregations and associations

- *congregations*: churches, synagogues, temples, mosques, shrines, monasteries, seminaries and similar organisations promoting religious beliefs and administering religious services and rituals.
- *associations of congregations*: associations and auxiliaries of religious congregations and organisations supporting and promoting religious beliefs, services and rituals.

Group 11: Business, professional associations and unions

- Organisations promoting, regulating and safeguarding business, professional and labour interests.

11 100 Business, professional associations and unions

- *business associations*: organisations that work to promote, regulate and safeguard the interests of special branches of business – for example, manufacturers' association, farmers' association, bankers' association.
- *professional associations*: organisations promoting, regulating and protecting professional interests – for example, bar association, medical association.
- *labour unions*: organisations that promote, protect and regulate the rights and interests of employees.

Group 12: Not elsewhere classified

12 100 Not elsewhere classified

Appendix B. Cross-walk between ICNPO and ISIC, NACE, NTEE, and selected national classification systems

ICNPO	ISIC	NACE ^a	US	France	Japan	NTEE	India
<i>Group 1: Culture and Recreation</i>							
1 100 Culture and arts	923*	971-7 966*	7922 84	8601-08 9611-22	943 918 782	A B70	950 952 956
1 200 Recreation	924 9199*	978-9*	79* 8641	67 9617-18 9624-25 9712	785*	N	959
1 300 Service clubs	9199 [†]	97* [†]	8699*	96 [†]	949 [†]	S80	95 [†]
<i>Group 2: Education and Research</i>							
2 100 Primary and secondary education	801 8021	932	8211	8201 9211-14	911, 916 912, 913	B21-28	920*
2 200 Higher education	803	931	8221	8203 9215	914,949*	B41-43	921*
2 300 Other education	809 8022*	933 934*	8222-99	8202 9216-18 9221	915 917 918	B50 B60 B80 B90	920*
2 400 Research	73 75 8532*	94 952* 911*	8922 7391	77 8301 9311 9321	93	H* U* V*	922* [†]
<i>Group 3: Health</i>							
3 100 Hospitals and rehabilitation	8511	951 667.4	8062 8069	8402-06	871-73	E50 E22 E24 E26	930*
3 200 Nursing homes	8519	951	8051 8059	8502-04	876	E25	930.9*
3 300 Mental health and crisis intervention	8511-9 [†]	951 [†]	8063	8402-06	871-73 [†]	F	930.9*
3 400 Other health services	8519*	952* 954 955	8071 8081 8091	8407-13 9411 9421	875 879 949* 88	G, H E60-80 E30-40	930

Appendix B (continued)

ICNPO	ISIC	NACE ^a	US	France	Japan	NTEE	India
<i>Group 4: Social Services</i>							
4 100 Social services	8531 8532	934* 961 962	83	9511-13 9522-23	92	B21 P, O K40-50	941* 969*
4 200 Emergency and relief	8531 8532	961 962	83	9511-13 9522-23	92	M	941* 949*
4 300 Income support and maintenance	8531 8532	961 962	83	9524	92	P K30*	94*
<i>Group 5: Environment</i>							
5 100 Environment	900 37 9233 [†]	0 96 [†]	8699 [†]	9723 [†]	949 [†]	C K20	910 956.3 [†]
5 200 Animal protection	8520 0140	956 0*	0741 0742	9723	949 [†]	D	931
<i>Group 6: Development and Housing</i>							
6 100 Economic, social and community development	919	963 968	8699	0-66, 77	949	S*, W* Q30-31	94* [†]
6 200 Housing	7010 452C	50* 834*	6513	55* 79* 81*	949	K, L	50* 82*
6 300 Employment and training	8022* 8090* 919*	96* 933*	8331*	9218	919*	J20-30	942
<i>Group 7: Law, Advocacy and Politics</i>							
7 100 Civic and advocacy organisation	919 [†]	966 968 [†]	8641 8651 8699*	9723 [†]	949 [†]	R Q70 P80*	942 949 [†]
7 200 Law and legal services	7411* 919*	835 963*	8111	7708	949	I	830
7 300 Political organisations	9192	968 [†]	8651	9723 [†]	949 [†]	W*	949 [†]

Appendix B (continued)

ICNPO	ISIC	NACE ^a	US	France	Japan	NTEE	India
<i>Group 8: Philanthropic Intermediaries and Voluntarism Promotion</i>	919 [†]	96 [†]	6732 8699 [†]	9723 [†]	949 [†]	T S70	949 [†]
<i>Group 9: International</i>	919 [†]	96 [†]	8699 [†]	9723 [†]	949 [†]	Q*	94 980 [†]
<i>Group 10: Religion</i>	9191*	966*	8661	9723 [†]	949 [†]	X	940
<i>Group 11: Business and Professional Associations, Unions</i>	9111 9112 9120	963 964 965	8611 8621 8631	7715 9711	941 949*	S41 Y J40 [†]	942*
<i>Group 12: Not Elsewhere Classified</i>	9199 9249 9309	968 979 984	8699 8999	87 9723	949	Z	99

* indicates a significant mismatch between ICNPO and other classification; however, some equivalence exists

† indicates that ICNPO activity is not captured by other classification, or that such activities are grouped into a catch-all or residual category.

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APPENDIX C

ADAPTATION OF ICNPO GROUPS AND SUBGROUPS IN VARIOUS COUNTRIES

ICNPO	Brazil	Egypt	France	Germany
GROUP 1: CULTURE AND RECREATION	Cultura e Recreação	الثقافة والاحتشام	Culture et loisirs	Kultur und Erholung
1 100 Culture and Arts	Cultura e Artes	الثقافة والفنون	Culture et beaux-arts	Kunst und Kultur
1 200 Recreation	Recreação	الترويح والاحتشام	Sports et loisirs	Sport, Freizeit, Erholung
1 300 Service Clubs	Clubes* (De Serviços)	نوادي الخدمات الترفيهية	Tourisme social**	Sonstige Klubs
GROUP 2: EDUCATION AND RESEARCH	Educação e Pesquisa	التعليم والبحث	Éducation et recherche	Bildungs- und Forschungswesen
2 100 Primary and Secondary Education	Educação de Primeiro e Segundo Graus	التعليم الابتدائي والثانوي	Enseignement préélémentaire, primaire et secondaire	Schulen, Primar- und Sekundarstufe
2 200 Higher Education	Educação Superior	التعليم العالي	Enseignement supérieur	Universitäten und Hochschulen
2 300 Other Education	Educação Alternativa e de Adultos	أنواع أخرى من التعليم	Autres enseignements et formation continue	Sonstige Organisationen des Bildungswesens
2 400 Research	Pesquisa	البحث	Recherche	Forschungswesen
GROUP 3: HEALTH	Saúde	الصحة	Santé	Gesundheitswesen
3 100 Hospitals and Rehabilitation	Hospitais e Reabilitação	المستشفيات ومراكز التأهيل	Hospitaux et établissements de rééducation	Krankenhäuser
3 200 Nursing Homes	Sanatórios	دور النقاهة والرعاية	Maisons de convalescence et maisons de retraite médicalisées	Pflegeheime

ICMPO	Brazil	Egypt	France	Germany
3 300 Mental Health and Crisis Intervention	Saúde Mental e Pronto-socorro Psiquiátrico	الخدمة النفسية ورعاية الأزمات	Santé mentale	Psychiatrische Krankenhäuser
3 400 Other Health Services	Outros Serviços de Saúde	خدمات صحية أخرى	Autres services de santé	Sonstige Organisationen des Gesundheitswesens
GROUP 4: SOCIAL SERVICES	Assistência Social	خدمات اجتماعية	Servicos sociaux	Soziale Dienste und Hilfen
4 100 Social Services	Assistência Social	خدمات اجتماعية	Servicos sociais	Soziale Dienste
4 200 Emergency and Relief	Emergências	الطوارئ والإغاثة	Secours et aide d'urgence	Katastrophenschutz und -hilfe
4 300 Income Support and Maintenance	Geração e Manutenção de Renda	دعم الدخل والإعالة	Associações caritativas	Finanzielle Unterstützung und Beihilfen
GROUP 5: ENVIRONMENT	Ambientalismo	البيئة	Protection de l'environnement	Umwelt- und Naturschutz
5 100 Environment	Ambientalismo	البيئة	Protection de l'environnement	Umwelt- und Naturschutz
5 200 Animal Protection	Proteção de Animais	الحيوانات	Protection des animaux	Tierschutz und Tierheime
GROUP 6: DEVELOPMENT AND HOUSING	Desenvolvimento e Habitação	التنمية والإسكان	Développement local et logement	Entwicklung, Wohnungswesen, Beschäftigungsinitiativen
6 100 Economic, Social and Community Development	Desenvolvimento Econômico, Social e Comunitário	التنمية الاقتصادية والاجتماعية والبلدية	Développement local	Entwicklung, Gemeinwesenarbeit
6 200 Housing	Habitação	الإسكان	Logement	Wohnungswesen
6 300 Employment and Training	Emprego e Capacitação	التوظيف والتدريب	Aide l'emploi et formation professionnelle	Beschäftigung und berufliche Fortbildung

ICNPO	Brazil	Egypt	France	Germany
GROUP 7: LAW, ADVOCACY AND POLITICS	Defesa de Direitos e Atuação Política	الدفاع القانوني والسياسية	Services juridiques, défense des droits, organisations politiques	Rechtswesen, Bürger- und Verbraucherinteressen, Politik
7 100 Civil and Advocacy Organizations	Entidades de Defesa de Direitos Cíveis	هيئات للدفاع عن الحقوق	Associations civiques et de défense des droits	Staatsbürgerliche Vereinigungen, Bürgerinitiativen, Verbraucherorganisationen
7 200 Law and Legal Services	Serviços Jurídicos e de Proteção Legal	الخدمات القانونية	Services juridiques	Rechtswesen und Rechtsberatung
7 300 Political Organizations	Entidades de Atuação Política	الهيئات السياسية	Organisations politiques	Politische Organisationen
GROUP 8: PHILANTHROPIC INTERMEDIARIES AND VOLUNTARISM PROMOTION	Intermediários Filantrópicos e Promoção de Voluntariado*	الهيئات الخيرية وتنشيط التطوع	Intermédiaires philanthropiques et promotion du bénévolat	Stiftungswesen, Spendenwesen, allgemeine ehrenamtliche Arbeit
GROUP 9: INTERNATIONAL	Atividades Internacionais	الأنشطة الدولية	Activités Internationales	Internationale Aktivitäten
GROUP 10: RELIGION	Religião	الدين	Religion	Religion
GROUP 11: BUSINESS AND PROFESSIONAL ASSOCIATION, UNIONS	Sindicatos e Associações Profissionais de Empregadores, de Empregados e de Autônomos	الهيئات التجارية والمهنية والتجارات	Associações profissionais e sindicatos	Wirtschaftsverbände, Berufsverbände, Gewerkschaften
GROUP 12: [NOT ELSEWHERE CLASSIFIED]	Outros	أخرى	Non dénommé ailleurs	Sonstiges

* Literal Translation. These are not currently used expressions.

** No exact equivalent.

ICNPO	Hungary	India	Italy	Japan	Thailand
GROUP 1: CULTURE AND RECREATION					
	Kultúra és pihenés	Samakruiti avam Manoranjan	Attività Culturali e Ricreative	文化とリクリエーション	ศิลปวัฒนธรรมและนันทนาการ
1 100 Culture and Arts	Kultúra és művészetek	Samakruiti avam Kala	Attività Culturali e Artistiche	文化と芸術	วัฒนธรรมและศิลป
1 200 Recreation	Pihenés	Manoranjan	Attività Ricreative	リクリエーション	นันทนาการ
1 300 Service Clubs	Réteglubok	Seva Sanghathan	Club	サービスクラブ	สโมสร/สมาคม
GROUP 2: EDUCATION AND RESEARCH					
	Oktatás és kutatás	Shiksha avam Shoda	Istruzione e Ricerca	教育と研究	การศึกษาและวิจัย
2 100 Primary and Secondary Education	Alapfokú és középfokú oktatás	Prathamika avam Madhyamika Shiksha	Istruzione Primaria e Secondaria	初等・中等教育	การศึกษาประถมและมัธยม
2 200 Higher Education	Felsőoktatás	Uttam Shiksha	Istruzione Universitaria	高等教育	การศึกษาระดับสูง/อุดมศึกษา
2 300 Other Education	Egyéb oktatás	Anyá Shiksha	Istruzione Professionale ed Istruzione degli Adulti	その他の教育	การศึกษาอื่นๆ
2 400 Research	Kutatás	Shoda	Ricerca	研究	วิจัย
GROUP 3: HEALTH					
	Egészségügy	Swasthya	Sanità	ヘルス	สุขภาพอนามัย
3 100 Hospitals and Rehabilitation	Kórházak és egészségügyi rehabilitáció	Aspathal avam Rogi Samarthikaran	Servizi ospedalieri Generali e Riabilitativi	病院とリハビリテーション	โรงพยาบาลและสถานบำบัด
3 200 Nursing Homes	Szanatóriumok, és egészségügyi szociális otthonok	Arogyalaya	Casa di Cura	療養所	บ้านพักคนชรา

ICMPO	Hungary	India	Italy	Japan	Thailand
3 300 Mental Health and Crisis Intervention	Mentális betegségek kezelése, krízisintervenció	Manasika Arogya Avam Sankhat Nirvartina	Servizi Psichiatrici Ospedalieri e non Ospedalieri	精神療法と危機対応	ความช่วยเหลือด้านสุขภาพจิตในทางวิกฤติ
3 400 Other Health Services	Egyéb egészségügyi szolgáltatások	Anya Arogya Seva Kendra	Altri Servizi Sanitari	その他のヘルスサービス	การบริการสุขภาพอื่น ๆ
GROUP 4: SOCIAL SERVICES	Szociális szolgáltatások	Samajika Seva	Assistenza Sociale	社会福祉	บริการสังคม
4 100 Social Services	Szociális szolgáltatások	Samajika Seva	Servizi Sociali	社会福祉	บริการสังคม
4 200 Emergency and Relief	Katasztrófaelhárítás menekültügy	Apathkeline Sahayatha	Servizi di Assistenza in caso di Calamità Naturale, di Protezione Civile e di Assistenza a Profughi e Rifugiati	緊急救援	เหตุการณ์ฉุกเฉินและการบรรเทาทุกข์
4 300 Income Support and Maintenance	Jövedelemkiegészítő pénzbeni támogatások	Upan Adhar avam Nibha	Servizi di Sostegno ai Redditi ed Alle Condizioni di Vita Individuale e Servizi di Beneficenza	収入増進サービス	สนับสนุนรายได้และการสงเคราะห์
GROUP 5: ENVIRONMENT	Környezetvédelem	Paryavaran	Attività Ambientalista	環境	สิ่งแวดล้อม
5 100 Environment	Környezetvédelem	Paryavaran	Attività a favore dell'ambiente	環境	สิ่งแวดล้อม
5 200 Animal Protection	Állatvédelem	Pashu Rakshan	Attività a favore degli Animali	動物	สัตว์

ICNPO	Hungary	India	Italy	Japan	Thailand
GROUP 6: DEVELOPMENT AND HOUSING	Település-, gazdaság- és közösségfejlesztés, lakásügy	Vikas avam Avas	Promozione dello Sviluppo Economico e Sociale della Comunità Locale; Tutela degli Inquilini E Sviluppo del Patrimonio Abitativo	開発と居住	การพัฒนาและการเคหะ
6 100 Economic, Social and Community Development	Település- és közösségfejlesztés	Arthik, samajik avam Nagerik vites	Promozione Dello Sviluppo Economico e Sociale Della Comunità Locale	経済・社会・コミュニティ開発	การพัฒนาชุมชน สังคม และเศรษฐกิจ
6 200 Housing	Lakásügy	Avas	Tutela degli Inquilini e Sviluppo del Patrimonio Abitativo	居住	การเคหะ
6 300 Employment and Training	A munkanélküliség kezelése képzés	Udyog avam Parishikshan	Addestramento ed Avviamento Professionale	雇用と訓練	การจ้างงานและฝึกอบรม
GROUP 7: LAW, ADVOCACY AND POLITICS	Jog, érdekvédelem, politika	Kanoon, Vakeelath avam Rajneethi	Dritti Civili, Tutela Legale e Politica	法政, 代議活動 (アベカシー), 政治	กฎหมาย การบริหาร และการเมือง
7 100 Civic and Advocacy Organizations	Polgári jogi és érdekvédelmi szervezetek	Jan Chetna Samstha avam Jan Adhikar Samrakshan	Organizzazioni Civiche e di Tutela dei Diritti	市民と社会運動団体	องค์การประชาชนและอาสาสมัคร
7 200 Law and Legal Services	Jogi szolgáltatások	Kanoon avam Kanooni Jankaari Kendra	Servizi di Tutela Legale	法的サービス	กฎหมายและการบริการด้านกฎหมาย
7 300 Political Organizations	Politikai szervezetek	Rajneethik Samstha	Organizzazioni Politiche	政治団体	การพิทักษ์ทางการเมือง

ICNPO	Hungary	India	Italy	Japan	Thailand
GROUP 8: PHILANTHROPIC INTERMEDIARIES AND VOLUNTARISM PROMOTION	Jótékonyság, az öntevékenység támogatása	Paropkar Machyam Santha avam Swayam Seva Bhav Prothsaahin	Intermediari Filantropici e Promozione del Volontariato	フィランソロピー団体 ボランティア	องค์การการกุศลและ ส่งเสริมอาสาสมัคร
GROUP 9: INTERNATIONAL	Nemzetközi kapcsolatok	Antharashatrya Karyakaram	Attività Internazionali	結成団体	กิจกรรมระหว่างประเทศ
GROUP 10: RELIGION			Organizzazioni Religiose	団体の活動	ศาสนา
GROUP 11: BUSINESS AND PROFESSIONAL ASSOCIATIONS, UNIONS	Üzleti és szakmai szövetségek, testületek	Vyaparik avam Vyavasayak Sanghathan, Mazdoor dal	Organizzazioni Economiche, di Titolari di Impresa, Professionali e Sindacali	業界団体と専門的団体、組合	สมาคมธุรกิจและ สมาคม สหภาพ
GROUP 12: (NOT ELSEWHERE CLASSIFIED)	Egyéb	Anyá	Altal	その他 分類されないもの	อื่นๆ

Notes

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- * The authors are grateful to Kusuma Cunningham for her assistance in developing the ICNPO and for compiling Appendix C of this paper.
- 1 An 'economic activity' in the national income statistics is defined as 'the combination of actions that result in a certain set of products' (United Nations, 1990, p.9).
- 2 For example, most US non-profit hospitals and universities would be dropped from the non-profit sector under this definition, since they get the largest proportion of their income from fees or government grants. The same would happen to non-profit social service providers in European countries.
- 3 A 1992 revision of the NACE system makes the classification nearly identical to the ISIC, although some more detail is provided at the sub-group level, allowing for a more refined treatment in some industries (Eurostat, 1992).
- 4 Some analysts would include service clubs (1 300) as member-serving organisations also.

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